THE STATE UNIVERSITY OF ZANZIBAR

DEPARTMENT OF INFORMATION TECHNOLOGY AND COMPUTER SCIENCE

INDIVIDUAL ASSIGNMENT

COURSE NAME: IT CHANGE MANAGEMENT

COURSE CODE: INF 3202

INSTRUCTOR: DR. MARYAM KHAMIS

STUDENT NAME: GIDION MKASANGA GIDION

STUDENT REG NUMBER: BITAM/9/21/002/TZ

IT Change Management Case Study: Tesla, Inc.

A. Organizational Background

1. Brief Background

Tesla, Inc. was founded in 2003 and is headquartered in Austin, Texas. The company operates in the electric vehicle (EV), energy storage, and renewable energy sectors. Tesla is widely recognized for transforming the automotive industry through software-driven innovation, vertical integration, and sustainable energy solutions.

2. Core Products/Services and Target Customers

- Core Products:

• Electric vehicles (Model S, Model 3, Model X, Model Y)

• Full Self-Driving (FSD) software

• Solar panels and Powerwall battery storage systems

- Target Customers:

• Environmentally conscious consumers

• Technology-oriented buyers

• Middle- to high-income individuals

• Commercial fleet operators

3. Market Challenges That Created the Need for Change

Traditional automotive manufacturers relied heavily on fossil fuels, dealership distribution models, and mechanical-based vehicle systems. Rising environmental regulations, fuel price volatility, and demand for smart technology integration created an opportunity for digital transformation in the automotive sector.

B. Nature of IT Change

4. Type of Change Implemented

Tesla implemented a hybrid transformation involving digital, organizational, cultural, and structural changes. The company integrated software into vehicles, removed traditional dealership models, and fostered a culture of rapid innovation.

5. Main Technologies Introduced

• Artificial Intelligence (AI) for autonomous driving

• Over-the-Air (OTA) software updates

• Cloud computing infrastructure

• Advanced battery management systems

• Robotics and automation in manufacturing

6. Impact on Business Operations

Technology enabled continuous remote vehicle updates, predictive maintenance, direct online sales, and real-time vehicle diagnostics. Vehicles became software-defined platforms capable of performance improvement post-purchase.

7. Leadership Support

Leadership provided strategic direction, heavy R&D investment, and strong commitment to innovation. The vision of accelerating the transition to sustainable energy aligned technology adoption with long-term business goals.

C. Organizational Culture and Employees

8. Organizational Culture

Tesla promotes a high-performance, engineering-driven culture emphasizing innovation, speed, data-driven decisions, and continuous improvement.

9. Cultural Support for Change

The organizational culture largely supported transformation due to its innovation focus. However, high-performance expectations created workforce pressure risks.

10. Employee Preparation Strategies

• Continuous technical training

• Cross-functional collaboration

• Agile development methodologies

• Automation training in production facilities

D. Business Competitiveness

11. Improvements Achieved

Operational Efficiency: Automation and AI improved production scalability and cost efficiency.

Innovation: Continuous software updates and battery innovation enhanced product differentiation.

Customer Experience: Seamless online purchasing and mobile app integration improved user satisfaction.

12. Contribution to Competitive Advantage

Tesla achieved differentiation through software superiority, integrated energy solutions, and first-mover advantage in electric and autonomous vehicle markets.

13. Business Outcomes

The company experienced rapid revenue growth, global EV market leadership, expansion of Gigafactories, and strong brand equity.

E. Critical Analysis

14. Risks

• Regulatory and safety risks related to autonomous driving technology.

• High capital investment requirements for Gigafactories and supply chain management.

15. Suggested Improvements

• Strengthen AI governance and compliance frameworks.

• Diversify supply chain for critical raw materials.

• Enhance cybersecurity protection measures.

16. Key Lessons

• Align digital transformation with strategic vision.

• Foster an innovation-supportive culture.

• Use software integration to create long-term competitive advantage.

F. Local Application (Tanzania)

Proposed Organization: Tanzania Electric Supply Company (TANESCO).

17. Proposed IT Change

• Implementation of smart grid systems.

• Deployment of IoT-enabled smart meters.

• Digital billing and customer service platforms.

Expected Benefits:

• Reduced transmission losses.

• Improved revenue collection.

• Enhanced customer service.

Possible Challenges:

• Infrastructure limitations.

• Cybersecurity risks.

- Funding constraints.